(4) *N Corporation's 1958 recovery.*

Total recovery of section 111 items for 1957		$50
Less: Recovery exclusion for 1957		150
Amount included in gross income of N Corporation for 1958		0

(5) *N Corporation's 1959 recoveries.*

(i) Total recovery of section 111 items for 1957		$20
Less: Recovery exclusion for 1957	$150	
Minus excludable recovery in 1958	50	100
Amount included in gross income of N Corporation for 1959		0
(ii) Total recovery of section 111 items for 1958		15
Less: Recovery exclusion for 1958		300
Amount included in gross income of N Corporation for 1959		0

(6) *N Corporation's 1960 recoveries.*

(i) Total recovery of section 111 items of M Corporation for 1957		$350
Less: Recovery exclusion of M Corporation for 1957	$400	
Minus: Excludable recovery in 1959	$50	
Excludable recovery in 1958	25	75
Amount included in gross income of N Corporation for 1960		325
(ii) Total recovery of section 111 items of M Corporation for 1958		25
Less: Recovery exclusion of M Corporation for 1958	200	225
Minus excludable recovery in 1959	30	170
Amount included in gross income of N Corporation for 1960		55
(iii) Total recovery of section 111 items of M Corporation for 1959		550
Less: Recovery exclusion of M Corporation for 1959		500
Amount included in gross income of N Corporation for 1960		50
(iv) Total recovery of section 111 items of N Corporation for 1957		100
Less: Recovery exclusion of N Corporation for 1957	$150	
Minus: Excludable recovery in 1959	$20	
Excludable recovery in 1958	50	70
Amount included in gross income of N Corporation for 1960		80
(v) Total recovery of section 111 items of N Corporation for 1958		20
Less: Recovery exclusion of N Corporation for 1958	350	
Minus excludable recovery in 1959	300	15
Amount included in gross income of N Corporation for 1960		285
(vi) Total recovery of section 111 items of N Corporation for 1959		65
Less: Recovery exclusion of N Corporation for 1959		$85
Amount included in gross income of N Corporation for 1960		75
		10

(7) *Summary of recoveries included in gross income of N Corporation for 1960.*

(i) Recovery of M Corporation items for:		
1957	$25	
1958	55	
1959	50	$130
(ii) Recovery of N Corporation items for:		
1957	20	
1958	65	
1959	10	95
Total amount included in gross income		225

[F.R. Doc. 61-3096; Filed, Apr. 6, 1961; 8:50 a.m.]

Title 43—PUBLIC LANDS: INTERIOR

Chapter I—Bureau of Land Management, Department of the Interior

SUBCHAPTER U—STATE AND RAILROAD GRANTS

[Circular No. 2059]

PART 270—STATE GRANTS FOR EDUCATIONAL, INSTITUTIONAL, AND PARK PURPOSES

Miscellaneous Amendments

In order to incorporate in the regulations the provisions of the act of September 14, 1960 (74 Stat. 1024), and the fact that the preference provisions of the act of September 27, 1944 (43 U.S.C. 282), as amended, have terminated, it is proposed to amend portions of 43 CFR Part 270 to read as set forth below.

This amendment relates to matters which are exempt from the rule making requirements of the Administrative Procedure Act (5 U.S.C. 1002), and although the Department of the Interior customarily observes the rule making requirements voluntarily, that procedure was not followed in this case since this change in the regulations is merely a reflection of the changes in the law. The provisions of the change in § 270.1 (d) became effective September 27, 1959, and the other changes in the regulations became effective on the effective date of the act, September 14, 1960.

Sections 270.1 (a), (c), and (d), 270.3 (b), (c), and (d) (3), 270.5(b), and 270.9(a) are amended all to read as follows:

§ 270.1 Statutory authority.

(a) Sections 2275 and 2276 of the Revised Statutes, as amended August 27, 1958, and September 14, 1960 (43 U.S.C. 851, 852), referred to in §§ 270.1 to 270.6 as "the law" authorize the public land States except Alaska to select lands (or the retained or reserved interest of the United States in lands which have been disposed of with a reservation to the United States of all minerals, or any specified mineral or minerals, which interest is referred to in §§ 270.1 to 270.6 as the "mineral estate") of equal acreage within the boundaries as indemnity for grant lands in place lost to the States because of appropriation prior to survey or because of natural deficiencies resulting from such causes as fractional sections and fractional townships.

* * * * *

(c) The law also provides that lands subject to a mineral lease or permit may be selected, but only if the lands are otherwise available for selection, and if none of the lands subject to that lease or permit are in producing or producible status. It permits the selection of lands withdrawn, classified, or reported as valuable for coal, phosphate, nitrate, potash, oil, gas, asphaltic minerals, oil shale, sodium, and sulphur and lands withdrawn by Executive Order No. 5327 of April 15, 1930, if such lands are otherwise available for, and subject to, selection, provided that, except where the base lands are mineral in character, such minerals are reserved to the United States in accordance with and subject to the regulations in Part 102 of this chapter. Except for the withdrawals mentioned in this paragraph and for lands subject to classification under section 7 of the Taylor Grazing Act of June 28, 1934 (48 Stat. 1269; 43 U.S.C. 315f), as amended, the law does not permit the selection of withdrawn or reserved lands.

(d) The law further provides that upon the revocation not later than 10 years after August 27, 1958, of any order of withdrawal, in whole or in part, the order or notice taking such action shall provide for a period of not less than six months before the date on which it otherwise becomes effective in which the State in which the lands are situated shall have a preferred right of application for selection under the law, except as against prior existing valid settlement and preference rights conferred by existing law or as against equitable claims subject to allowance and confirmation, and except where a revocation of an order of withdrawal is made in order to assist in a Federal land program.

§ 270.3 Applications for selection.

* * * * *

(b) Applications for selection under the law will be made by the proper selecting agent of the State and will be filed, in duplicate, in the proper land office in the State or for lands or mineral estate in a State in which there is no land office, will be filed with the Bureau of Land Management, Washington 25, D.C., except that applications for lands or mineral estate in North Dakota or South Dakota shall be filed in the land office at Billings, Montana, applications for lands or mineral estate in Kansas or Nebraska shall be filed in the land office at Cheyenne, Wyoming, and for lands or mineral estate in Oklahoma in the land office at Santa Fe, New Mexico.